Macau (:)

9M 2026 Gambling Market & Regulatory Brief · Published 1 Oct 2026 (DICJ Sept/9M GGR); 17 Oct 2026 (DICJ Q3 by game); 26 Oct 2026 (DSEC 9M arrivals); 12 Oct 2026 (DSF 9M gaming tax) · Currency MOP (Macau pataca) — tables in MOP billions unless stated, with ~USD alongside at USD/MOP 8.07

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B2Tech · via Merlin

THE ONE-LINE VERDICT

Macau's 9M-2026 casino GGR of MOP187.12bn (~$23.19bn, +3.2% YoY) flatters a market that has rolled over: four straight monthly year-on-year declines through September (five through October), a Q3 of MOP60.22bn (~$7.46bn, -3.8%) driven by a 7.9% fall in mass/premium-mass baccarat, and GGR per visitor down ~5% even as arrivals rose 8.5%. The regime is stable but closed — six concessions locked to 31 Dec 2032, a 40% effective levy on GGR, zero licensed online — so for B2Tech the only realistic exposure is B2B supply into the one product line still growing, slots (+~19% YoY).

9M-26 CASINO GGR (DICJ)	Q3-26 CASINO GGR	9M-26 GAMING TAX RECEIPTS (DSF)	9M-26 VISITOR ARRIVALS (DSEC)	9M-26 GGR PER VISITOR (CALC.)	9M-26 SLOT-MACHINE GGR (CALC. FROM DICJ QUARTERLIES)
MOP187.12bn (~$23.19bn)	**MOP60.22bn (~$7.46bn)**	**MOP74.56bn (~$9.24bn)**	**32.18m**	**~MOP5,815 (~$721)**	**MOP12.18bn (~$1.51bn)**
+3.2% YoY; 10M +1.6%	-3.8% YoY, -1.3% QoQ	+5.9% YoY; 80.6% of FY budget	+8.5% YoY; Sept +15.9%	~-4.9% YoY; Sept ~-15%	~+19% YoY; share 6.8% in Q3

1 EXECUTIVE SUMMARY

- **World's largest casino market, but growth has stalled:** DICJ-reported casino GGR for Jan–Sep 2026 was MOP187.12bn (~$23.19bn), +3.2% YoY; through October it was MOP208.79bn (~$25.87bn), +1.6%. FY2025 was MOP247.40bn (~$30.66bn), +9.1%, still only 84.6% of 2019's MOP292.46bn (~$36.24bn). All figures are gross gaming revenue (win before tax); Macau does not report NGR.
- **The trajectory inside the 9M number is negative:** cumulative growth decayed from +24.0% (Jan) to +12.1% (4M), +6.8% (H1), +3.2% (9M) and +1.6% (10M). Quarterly: Q1 +14.5% (MOP66.04bn, ~$8.18bn), Q2 flat (MOP61.2bn, ~$7.58bn), Q3 -3.8% (MOP60.22bn, ~$7.46bn). Monthly YoY: Jun -12.1%, Jul -8.4%, Aug -1.2%, Sep -1.2%, Oct -10.0% — five consecutive declines, October falling despite Golden Week.
- **Product mix — it is a premium-mass problem, not a VIP problem:** Q3 mass baccarat (DICJ's line includes premium mass) fell 7.9% to MOP33.61bn (~$4.16bn), a MOP2.88bn (~$357m) decline larger than the whole market's MOP2.35bn (~$291m) fall; VIP baccarat was flat at MOP16.91bn (~$2.10bn, +0.1%); slots +18.8% to MOP4.09bn (~$0.51bn); live multi-game ETGs -8% to ~MOP1.14bn (~$0.14bn). Summing the three DICJ quarterlies: 9M mass baccarat MOP105.4bn (~$13.06bn, ~-1%), VIP MOP52.4bn (~$6.49bn, ~+10%), slots MOP12.2bn (~$1.51bn, ~+19%).
- **Baccarat is the market:** baccarat (mass + VIP) was 85.1% of GGR across 16 approved games of fortune in 2025 (DICJ); in Q3-26 mass baccarat was 55.8% of GGR and VIP baccarat 28.0%, so ~84% combined. Slots have only reached 6.8% of GGR (from 5.5% a year earlier) — the single structural growth line.
- **Channel: 100% land-based, 0% licensed online.** Law 16/2001 (as revised by Law 7/2022) licenses only casino games of fortune in physical casinos; there is no interactive/online licence class and no proposal to create one. 'Online penetration' is therefore nil by law; any digital exposure is illegal cross-border activity targeted by Macau's 2022 illegal-gambling law and the PRC's criminalisation of cross-border gambling.
- **Licensing regime — closed until 2032:** six concessions (SJM Resorts, Galaxy Casino, Venetian Macau/Sands China, Melco Resorts (Macau), Wynn Resorts (Macau), MGM Grand Paradise) awarded 16 Dec 2022 by Executive Orders 218–223/2022 after a 29 Jul–14 Sep 2022 tender with seven bidders; 10-year contracts effective 1 Jan 2023. The revised law caps concessions at six and abolished sub-concessions. No new B2C entry is possible before a re-tender ahead of 31 Dec 2032.
- **Consolidation is complete:** 20 casinos now operate (SJM 5, Sands 5, Galaxy 3, Melco 3, Wynn 2, MGM 2) versus a 2021 peak of 42, after the three-year transition for third-party 'satellite' casinos ended 31 Dec 2025 with none surviving; their ~480 tables and ~270 machines (June 2025, DICJ) were reallocated to the concessionaires. The floor stock is ~6,000 tables and ~12,000 machines (DICJ, end-2025 and end-H1 2026).
- **Tax regime — base is GGR, headline 35%, effective 40%:** Article 27 of the gaming law levies a 35% special gaming tax on gross gaming revenue, payable by the 10th of the following month, plus mandated contributions of up to 5% of GGR (public foundation, urban development/tourism/social security), giving a 40% effective rate — among the highest GGR-based rates of any major casino jurisdiction. No change was enacted or proposed in 2026. Fixed/variable annual premiums per table and machine and minimum-GGR-per-table top-ups also apply [parameters not re-verified this session].
- **Tax take:** DSF recorded MOP74.56bn (~$9.24bn) of gaming revenue in Jan–Sep 2026, +5.9% YoY (Sept alone MOP8.39bn, ~$1.04bn), equal to 80.6% of the FY2026 gaming-tax budget of MOP92.53bn (~$11.47bn) and 84.1% of government current revenue (MOP88.71bn, ~$10.99bn). FY2025 gaming taxes were MOP94.9bn (~$11.76bn), +7.6%, 76.6% of total government revenue of MOP124.1bn (~$15.38bn).
- **Government target will be met, but says little:** the 2026 budget assumes GGR of MOP236bn (~$29.24bn), already below 2025's actual MOP247.4bn; 79% was achieved by September, and Nov–Dec need only MOP27.2bn (~$3.37bn) versus MOP41.98bn (~$5.20bn) in Nov–Dec 2025. CE Sam Hou Fai has refused to revise the figure. Our estimate for FY2026 is MOP245–250bn (~$30.4–31.0bn), i.e. -1% to +1% YoY [estimate].
- **Visitation is rising while spend per head falls:** DSEC counted 32,181,272 arrivals in 9M-26 (+8.5%); September's 3,216,535 (+15.9%) was driven by same-day visitors (+23.8% to 1.93m) rather than overnight (+5.7% to 1.28m). International arrivals were only 1,949,417 (+3.4%), ~6% of the total. Implied GGR per visitor was ~MOP5,815 (~$721) in 9M-26, ~-4.9% YoY, and ~MOP5,615 (~$696) in September, ~-15% YoY.
- **Operator landscape:** six concessionaires; DICJ does not publish operator GGR shares, so market-share data is n/a from primary sources

(company filings would be required). Galaxy's Q3 release corroborates the market: HKD181.7bn 9M market GGR (+3%) and HKD58.5bn in Q3 (-4%).

- **VIP and junkets — smaller, concessionaire-controlled, and volatile:** DICJ defines VIP by table classification, not by junket play. VIP baccarat jumped +35.4% in Q1 (MOP19.56bn, ~$2.42bn; 29.7% share), fell 18.8% QoQ in Q2 on low hold and the World Cup, and recovered +6.3% QoQ in Q3. Licensed gaming promoters numbered 29 at end-June 2026 (31 at end-March). Seaport estimates October VIP GGR fell >35% YoY, citing mainland capital controls — the segment remains hostage to PRC policy.
- **Payments reality:** play is cash/chip-based (HKD-denominated chips dominate), with mainland UnionPay and cross-border cash subject to PRC capital controls; there is no licensed digital-wallet or online funding channel. Capital-control enforcement is a direct GGR driver (Seaport's October VIP read) rather than a compliance footnote.
- **Responsible gambling and advertising are restrictive and stable:** minimum entry/employment age is 21 (Law 10/2012), a DICJ-administered self-exclusion scheme exists, main-floor smoking is prohibited with approved lounges, and direct advertising of games of fortune is prohibited in Macau — concessionaires market the resort, not the game [regime details from statute, not re-read this session].
- **Enforcement and political direction of travel:** tighter, not looser. The 2022 package (Law 7/2022 gaming law, Law 16/2022 on gaming promoters, the illegal-gambling law) ended junket revenue-share and junket-run VIP rooms, closed satellites, and tied concessions to non-gaming investment pledges; Beijing's criminalisation of cross-border gambling continues. Policy priority is fiscal stability and 'adequate diversification', not market expansion.
- **Labour:** 53,272 persons engaged in gaming at end-2025 (10.7% of a 496,600 labour force, DSEC); average full-time gaming earnings MOP28,660 (~$3,551)/month in June 2026 (+4.6%), dealers (41.9% of the workforce) MOP22,130 (~$2,742, +1.5%). Wage inflation against falling GGR compresses operator margins.
- **Non-casino betting is immaterial:** Macau Slot's exclusive football and basketball concession generated MOP90m (~$11.2m, -10%) and MOP73m (~$9.0m, +23.7%) respectively in Q1-26 — ~0.25% of casino GGR; the concession was extended to 5 Jun 2026 pending a review of the sports-betting model (outcome after that date: n/a). Horse racing ended 1 Apr 2024; greyhound racing ended 20 Jul 2018.
- **Read-through for B2Tech:** there is no B2C route (no licence class, no online, no sub-concessions, next tender 2032). The commercially live exposure is B2B — slot/ETG supply and content into a floor that is shifting premium-mass players onto machines (slots +19%, 12,000 machines, consolidated into six buyers) — or services to concessionaires/promoters, each requiring DICJ approval. Entry economics must assume a 40% GGR levy on the operator side, a demand base that is ~95% Greater China, and policy risk set in Beijing rather than Macau.
- **Data caveats:** DICJ's quarterly by-game series sums to MOP187.46bn for 9M-26 versus MOP187.12bn in the monthly series (~0.2% definitional/timing gap); one outlet (GGRAsia) printed September GGR as MOP17.84bn against MOP18.06bn in all other reports — we use MOP18.06bn, consistent with October's reported +20.0% MoM.

2 MARKET SUMMARY

MACAU — MOP BN (~USD BN AT 8.07)	9M-26	YOY	Q3-26	Q3 YOY	FY-25
CASINO GGR — GAMES OF FORTUNE (DICJ)					
Total casino GGR (monthly series) 10M-26: MOP208.79bn (~$25.87bn), +1.6%. FY25 = 84.6% of 2019 (MOP292.46bn).	**187.12 (~$23.19)**	**+3.2%**	**60.22 (~$7.46)**	**-3.8%**	**247.40 (~$30.66)**
Mass baccarat (incl. premium mass)	105.37 (~$13.06) [calc]	~-1.0% [calc]	33.61 (~$4.16)	-7.9%	n/a
VIP baccarat (DICJ table classification)	52.37 (~$6.49) [calc]	~+9.9% [calc]	16.91 (~$2.10)	+0.1%	n/a
Slot machines	12.18 (~$1.51) [calc]	~+19.2% [calc]	4.09 (~$0.51)	+18.8%	n/a
Live multi-game ETGs	3.70 (~$0.46) [calc]	~-0.6% [calc]	~1.14 (~$0.14)	-8%	n/a
Mass segment total incl. slots	n/a	n/a	43.31 (~$5.37)	-5.2%	n/a
VIP share of GGR	27.9% [calc]	+~1.7pp	28.0%	+1.1pp	30.7% (Q4-25)
Baccarat share of GGR (all baccarat)	~84% [calc]	n/a	~84%	n/a	85.1%
CHANNEL					
Land-based / retail share	100%	–	100%	–	100%
Licensed online GGR	nil — not licensable	–	nil	–	nil
Non-casino betting (Macau Slot) — football / basketball	Q1 only: 0.090 (~$0.011) / 0.073 (~$0.009)	-10% / +23.7%	n/a	n/a	n/a
FISCAL (DSF)					
Tax base / headline rate	GGR / 35% special gaming tax	unchanged	GGR / 35%	unchanged	GGR / 35%
Effective levy incl. contributions	40% of GGR	unchanged	40%	unchanged	40%
Gaming tax receipts FY-26 gaming-tax budget MOP92.53bn (~$11.47bn); 9M = 80.6%. FY-25 receipts +7.6% vs budget MOP93.1bn.	**74.56 (~$9.24)**	**+5.9%**	**Sept: 8.39 (~$1.04)**	**+7.4% MoM**	**94.9 (~$11.76)**
Gaming tax as % of govt revenue	84.1% of current revenue (88.71 / ~$10.99)	n/a	n/a	n/a	76.6% of total revenue (124.1 / ~$15.38)
Government GGR target	236 (~$29.24) FY-26; 79% achieved	-4.6% vs FY-25 actual	n/a	n/a	228 (~$28.25) revised target
MARKET STRUCTURE					
Concessionaires (max 6; term to 31 Dec 2032)	6	–	6	–	6
Casinos operating	20	vs 42 peak (2021)	20	–	20 at year-end (satellites closed 31 Dec 2025)
Gaming tables / machines (approx., DICJ)	~6,000 / ~12,000 (end-H1)	flat	n/a	n/a	~6,000 / ~12,000
Licensed gaming promoters (junkets)	29 (end-Jun)	-2 vs end-Mar (31)	n/a	n/a	n/a
Gaming-sector employment (DSEC)	n/a	n/a	n/a	n/a	53,272 (10.7% of labour force)
Licence fees / premium	Fixed MOP30m (~$3.7m) p.a. + MOP300k (~$37k)/VIP table, MOP150k (~$19k)/mass table, MOP1,000 (~$124)/machine [unverified this session]	–	–	–	–
DEMAND					
Visitor arrivals (DSEC)	32.18m	+8.5%	11.2m	+8%	n/a
International arrivals	1.95m (6.1% of total)	+3.4%	Sept: 180,821	+2.6%	n/a
GGR per visitor [calc]	~MOP5,815 (~$721)	~-4.9%	Sept: ~MOP5,615 (~$696)	~-15%	n/a

3 DEEP-DIVE — MARKET TRAJECTORY & DEMAND (MONTHLY GGR, VISITATION)

A +3.2% nine-month print built entirely on Q1; the run-rate since June is negative and October's -10% came in a Golden Week month.

MONTHLY GGR SERIES

A +3.2% nine-month print was built entirely on Q1 (+14.5%); the run-rate since June is negative.

- January MOP22.63bn (~$2.80bn, +24.0%), March MOP22.61bn (~$2.80bn, +15.0%), May MOP22.61bn (+6.7%) — three of the strongest post-pandemic months.
- June MOP18.52bn (~$2.29bn, -12.1%), July MOP20.26bn (~$2.51bn, -8.4%), August MOP21.89bn (~$2.71bn, -1.2%).
- September MOP18.06bn (~$2.24bn, -1.2%), the lowest month since September 2024.
- October MOP21.68bn (~$2.69bn, -10.0%) against MOP24.09bn (~$2.99bn) a year earlier, in a Golden Week month.
- 9M total MOP187.12bn (~$23.19bn), +3.2% only because Q1 was +14.5%.

WORLD CUP AND BASE EFFECTS

The World Cup explains June and July, but August, September and October declined without a tournament; spend per head is weakening, not just calendar noise.

- World Cup (expanded 48-team, 104-match format, June–July) is the consensus explanation; CreditSights argues those months should be excluded when assessing structural health.
- October contained National Day Golden Week and the NBA China Games at the Venetian, yet fell by the second-largest margin of the year.
- The honest reading: 2025's strong second-half base is now compounded by weaker spend per head.

VISITATION AND MIX

Visitation is not the constraint; the composition is, with GGR per visitor ~4.9% below 9M-25 and ~15% below in September.

- DSEC recorded 32,181,272 arrivals in 9M-26 (+8.5%) and 3,216,535 in September (+15.9%); Q3 ~11.2m (+8% YoY, +15% QoQ).
- September growth came from same-day visitors (+23.8% to 1,933,257) rather than overnight guests (+5.7% to 1,283,278).
- International arrivals 1,949,417 in 9M (+3.4%), only ~6% of total despite being the concession contracts' stated diversification target.
- GGR per visitor ~MOP5,815 (~$721) in 9M-26 versus ~MOP6,113 (~$757) in 9M-25; ~MOP5,615 (~$696) in September, ~15% below September 2025.

FY2026 OUTLOOK

We model FY2026 at MOP245–250bn (~$30.4–31.0bn), -1% to +1% YoY [estimate], the first flat-to-down year since reopening.

- 10M GGR MOP208.79bn (~$25.87bn) leaves only MOP27.2bn (~$3.37bn) needed in November–December to hit the government's MOP236bn (~$29.24bn) budget.
- The same two months of 2025 delivered MOP41.98bn (~$5.20bn).
- Seaport's November forecast is -6.1% YoY (~MOP19.8bn, ~$2.45bn), with VIP down more than 35% in October.
- The government target was set below the prior-year actual, masking the flat-to-down outcome.

OPERATOR IMPLICATION

Macau's volume engine (visitor count) is intact but its value engine (overnight, premium-mass mainland spend) is not, and the gap widens monthly.

- Track the same-day/overnight mix and GGR-per-visitor rather than headline GGR.
- These are the earliest indicators of whether Q4-26 stabilises.

MONTHLY CASINO GGR (DICJ) — MOP BN	2026	2025	YOY	~USD BN (2026)
January	22.63	18.25	+24.0%	2.80
February	20.62	19.74	+4.5% [calc]	2.56
March	22.61	19.66	+15.0%	2.80
Q1	**65.86 (monthly) / 66.04 (quarterly)**	**57.66**	**+14.3–14.5%**	**8.16–8.18**
April	19.89	18.86	+5.5%	2.46
May	22.61	21.19	+6.7%	2.80
June	18.52	21.07	-12.1%	2.29
Q2	**61.02 (monthly) / 61.2 (quarterly)**	**61.1**	**~0.0%**	**7.56–7.58**
H1 H1-26 still 15.1% below H1-19 (MOP149.50bn, ~$18.53bn).	**126.90**	**118.8**	**+6.8%**	**15.72**
July	20.26	22.12	-8.4%	2.51
August	21.89	22.16	-1.2%	2.71
September	18.06	18.28	-1.2%	2.24
Q3	**60.22**	**62.57**	**-3.8%**	**7.46**
9M	**187.12**	**181.32**	**+3.2%**	**23.19**
October	21.68	24.09	-10.0%	2.69
10M	**208.79**	**205.41**	**+1.6%**	**25.87**
November	n/a (Seaport est. -6.1%)	21.09	n/a	n/a
December	n/a	20.89	n/a	n/a
Full year	**236 (govt target) / 245–250 (our est.)**	**247.40**	**-4.6% / -1% to +1%**	**29.24 / 30.4–31.0**
Visitor arrivals 9M (DSEC)	32.18m	29.66m [calc]	+8.5%	–
Visitor arrivals September	3.22m (same-day 1.93m / overnight 1.28m)	2.78m [calc]	+15.9% (+23.8% / +5.7%)	–
International arrivals 9M	1.95m	1.89m [calc]	+3.4%	–
GGR per visitor 9M [calc]	MOP5,815	MOP6,113	-4.9%	~$721

4 DEEP-DIVE — MASS MARKET: PREMIUM MASS, GRIND MASS, SLOTS & ETGS

Mass baccarat — 56% of GGR and the post-junket growth engine — fell 7.9% in Q3; slots are the only line compounding.

MASS BACCARAT

Mass baccarat, 56% of GGR and the post-junket growth engine, fell 7.9% YoY in Q3, exceeding the whole market's decline.

- Q1 MOP36.56bn (~$4.53bn, +6.5%), Q2 MOP35.2bn (~$4.36bn, -1.2%), Q3 MOP33.61bn (~$4.16bn, -7.9% YoY, -4.4% QoQ).
- Share fell from 59.4% a year earlier to 55.8%.
- Q3 decline of MOP2.88bn (~$357m) exceeded the market's MOP2.35bn (~$291m) fall — every other product combined was positive.
- 9M mass baccarat ~MOP105.4bn (~$13.06bn), roughly -1% YoY, against +6.5% at end-Q1.

BROADER MASS SEGMENT

Mass including slots and ETGs fell 5.2% YoY in Q3 to MOP43.31bn, the segment that determines EBITDA margins.

- Q2 MOP45.13bn (~$5.59bn, +0.8%); Q3 MOP43.31bn (~$5.37bn, -5.2%, -4.0% QoQ), 71.9% of GGR.
- Premium mass is where concessionaires reinvested after junket VIP was dismantled in 2022–23; most exposed to mainland wealth effects, property sentiment and capital controls.
- Trade commentary on April cited 'low VIP hold', but no hold explanation exists for three consecutive quarters of mass-baccarat weakening.

SLOTS AND ETGS

Slots are the only line compounding, up 18.8% in Q3, but a 6.8% share cannot offset premium-mass losses.

- Slots MOP3.98bn (~$0.49bn, +21.6%) Q1, MOP4.11bn (~$0.51bn, +17.0%) Q2, MOP4.09bn (~$0.51bn, +18.8%) Q3; share 6.8% from 5.5%.
- Live multi-game ETGs MOP1.26bn (~$0.16bn, +3.5%), MOP1.30bn (~$0.16bn, +3.1%) and ~MOP1.14bn (~$0.14bn, -8%).
- Drivers are structural: tables capped (~6,000), satellite tables and machines reallocated to concessionaires' floors at end-2025, lower-value play steered to machines.
- Q3 slot gain ~MOP0.65bn (~$80m) YoY versus MOP2.88bn (~$357m) mass-baccarat loss.

FLOOR PRODUCTIVITY

Supply is static at ~6,000 tables and ~12,000 machines over 20 casinos, yielding ~MOP2.4bn mass GGR per 1,000 tables per quarter.

- DICJ counts at end-2025 and end-H1 2026.
- Quarterly mass segment ~MOP43–45bn implies ~MOP2.4bn (~$0.30bn) per 1,000 tables per quarter.
- Productivity can only be lifted through premium-mass yield — exactly the variable deteriorating.

B2B IMPLICATIONS

Machine product spend is growing double-digit while everything else is flat or down; model revenue-share deals on mass GGR falling mid-single-digit in H2-26.

- Consolidation into six buyers simplifies distribution but raises buyer negotiating power.
- Performance-linked structures should not be modelled on the 9M headline.

DICJ QUARTERLY GGR BY GAME — MOP BN (~USD BN)	Q1-26	Q2-26	Q3-26	Q3 YOY	9M-26 [CALC]
Total games of fortune (quarterly series) Quarterly series sums ~0.2% above the monthly series (MOP187.12bn).	**66.04 (~$8.18)**	**61.2 (~$7.58)**	**60.22 (~$7.46)**	**-3.8%**	**187.46 (~$23.23)**
YoY / QoQ (total)	+14.5% / +0.3%	~0.0% / -7.3%	-3.8% / -1.3%	–	+3.2–3.4%
Mass baccarat (incl. premium mass)	36.56 (~$4.53)	35.2 (~$4.36)	33.61 (~$4.16)	-7.9%	105.37 (~$13.06)
YoY / QoQ (mass baccarat)	+6.5% / +0.9%	-1.2% / -3.8%	-7.9% / -4.4%	–	~-1.0%
Mass baccarat share of GGR	55.5% (59.4% py)	57.5% (57.6% py)	55.8% (58.3% py)	-2.5pp	56.2%
Mass segment incl. slots & ETGs	~46.5 (~$5.76) [total less VIP]	45.13 (~$5.59)	43.31 (~$5.37)	-5.2%	~134.9 (~$16.7)
Slot machines	3.98 (~$0.49)	4.11 (~$0.51)	4.09 (~$0.51)	+18.8%	12.18 (~$1.51)
Slots YoY	+21.6%	+17.0%	+18.8%	–	~+19.2%
Slots share of GGR	6.0%	6.7%	6.8% (5.5% py)	+1.3pp	6.5%
Live multi-game ETGs	1.26 (~$0.16)	1.30 (~$0.16)	~1.14 (~$0.14)	-8%	3.70 (~$0.46)
Gaming tables / machines (approx.)	~6,000 / ~12,000	~6,000 / ~12,000	n/a	–	–
Casinos	20	20	20	vs 42 (2021)	–

5 DEEP-DIVE — VIP BACCARAT & GAMING PROMOTERS (JUNKETS)

VIP is now a concessionaire-run, ~28%-of-GGR product: +35% in Q1 on hold and base effects, -19% QoQ in Q2, flat YoY in Q3, and reportedly -35% in October.

VIP BACCARAT PERFORMANCE

VIP baccarat is ~28% of GGR: +35% in Q1 on hold and base effects, -19% QoQ in Q2, flat YoY in Q3.

- DICJ 'VIP baccarat' is a table classification, not junket-intermediated play; concessionaires' own VIP definitions differ materially.
- Q1-26 MOP19.56bn (~$2.42bn, +35.4% YoY, 29.7% share); Q2 MOP15.90bn (~$1.97bn, -2.6% YoY, -18.8% QoQ, 26.0% share).
- Q3 MOP16.91bn (~$2.10bn, +0.1% YoY, +6.3% QoQ, 28.0% share); ~MOP52.4bn (~$6.49bn) over nine months, roughly +10% YoY on our summation.
- Q1 surge coincided with entertainment-led premium promotion and a weak Q1-25 base; Q2 drop attributed to low hold and the World Cup.

STRUCTURAL CEILING

VIP oscillates in a 26–30% band rather than recovering toward the junket-era 50–60%; Law 16/2022 sets the regulatory ceiling.

- Share was 30.7% in Q4-25 and ~25% in Q1-25.
- Law 16/2022 (effective 1 Jan 2023) limits promoters to one concessionaire, bans revenue-sharing, prohibits junket VIP rooms and deposit-taking, makes concessionaires liable [statute parameters not re-read this session].
- 29 licensed gaming promoters at end-June 2026, down from 31 at end-March, versus well over a hundred before 2022.

FORWARD INDICATORS

Seaport estimates October VIP GGR fell more than 35% YoY on mainland capital controls, with November market GGR forecast at -6.1%.

- Mass fell low-single-digit in October.
- VIP is now mostly premium-direct credit from concessionaires, so volatility flows to operator receivables and provisions rather than junket balance sheets.

B2TECH READ-THROUGH

The VIP/junket channel is not an entry point; VIP is a ±MOP3–4bn (~$0.4–0.5bn) quarterly swing factor making forecasting unusually noisy.

- Promoter licences are annual, DICJ-vetted, commission-capped and tied to a single concessionaire.
- Economics without revenue share do not support an independent operator model.
- Any revenue-linked B2B contract inherits this hold- and policy-driven noise.

VIP BACCARAT (DICJ) — MOP BN (~USD BN)	Q1-26	Q2-26	Q3-26	Q3 YOY	9M-26 [CALC]
VIP baccarat GGR	**19.56 (~$2.42)**	**15.90 (~$1.97)**	**16.91 (~$2.10)**	**+0.1%**	**52.37 (~$6.49)**
YoY	+35.4%	-2.6%	+0.1%	–	~+9.9%
QoQ	-3.6%	-18.8%	+6.3%	–	–
Share of total GGR	29.7%	26.0%	28.0%	+1.1pp	27.9%
Prior-year share	25.1%	26.7%	26.9% [calc]	–	–
Prior-year VIP GGR	14.45 [calc]	16.33	16.89 [calc]	–	47.67 [calc]
Licensed gaming promoters	31 (end-Mar)	29 (end-Jun)	n/a	–	–
October 2026 VIP (Seaport estimate)	–	–	–	>-35% YoY	–
Promoter regime (Law 16/2022)	1 concessionaire per promoter; commission-only; no junket VIP rooms; no deposits [unverified this session]				

6 DEEP-DIVE — LICENSING & CONCESSION REGIME

Six 10-year concessions to 31 Dec 2032, no sub-concessions, no online class and no satellites: the most closed major casino jurisdiction in the world.

LEGAL FRAMEWORK

Six 10-year concessions, no sub-concessions, no online class and no satellites make Macau the most closed major casino jurisdiction.

- Law 16/2001 revised by Law 7/2022 (passed 21 June 2022, gazetted 22 June 2022); Administrative Regulation 28/2022 governed the tender.
- DICJ regulates and inspects; DSF assesses and collects gaming taxes and may audit jointly with DICJ.
- Maximum six concessions, sub-concessions abolished (previously three plus three), terms capped at ten years, extendable up to three years in exceptional circumstances [extension clause not re-read this session].

2022 TENDER

All six incumbents were re-awarded concessions running 1 January 2023 to 31 December 2032; the next entry window is the re-tender ahead of 2033.

- Tender ran 29 July–14 September 2022 with seven bidders; provisional results 26 November 2022 (Executive Order 205/2022), definitive awards 16 December 2022 (Executive Orders 218–223/2022).
- Winners: MGM Grand Paradise, Galaxy Casino, Venetian Macau, Melco Resorts (Macau), Wynn Resorts (Macau), SJM Resorts.
- Genting was unsuccessful; no public signal of licence expansion.

CONCESSION CONDITIONS

Local incorporation, MOP5bn share capital, resident managing director with 15%, non-gaming pledges and the end of satellites define this cycle.

- Minimum share capital MOP5bn (~$620m); Macau-permanent-resident managing director holding at least 15% [thresholds not re-read this session].
- Non-gaming investment pledged across ten categories (MICE, entertainment, sport, culture, health, themed attractions).
- Satellite casino transition expired 31 December 2025; none continued; 11 venues' ~480 tables and ~270 machines reallocated to sponsoring concessionaires.
- Casino count fell from 42 (2021) to 20.

> *"follow up closely on the implementation of the investment projects"* — DICJ

ECONOMIC TERMS

Beyond the 35% tax, premiums and minimum GGR per table make marginal tables a cost, pushing grind-mass play to machines.

- Annual premium: fixed MOP30m (~$3.7m) plus MOP300,000 (~$37k) per VIP table, MOP150,000 (~$19k) per mass table, MOP1,000 (~$124) per machine, subject to a minimum.
- Minimum annual GGR per table and machine below which the shortfall is taxed as if earned [all unverified this session].
- Table allocations are a managed resource.

ENTRY ROUTES

No B2C path exists until the early 2030s; realistic routes are equipment supply, services to a concessionaire or a promoter licence.

- The 2022 process showed incumbency, local shareholding, non-gaming pledges and political acceptability outweigh gaming expertise.
- Equipment must be certified against DICJ technical standards and supplied through approved manufacturers/distributors.
- Each route is DICJ-approved and dependent on a concessionaire counterparty.

MACAU CONCESSION REGIME	RULE / PARAMETER	STATUS (VERIFICATION)
Governing law	Law 16/2001 as revised by Law 7/2022 (gazetted 22 Jun 2022); AR 28/2022 (tender rules)	Verified (DICJ)
Regulator / tax collector	DICJ (inspection, licensing); DSF (tax assessment/collection)	Verified
Number of concessions	6 maximum; no sub-concessions	Verified (DICJ)
Term	10 years, 1 Jan 2023 – 31 Dec 2032	Verified (DICJ)
Concessionaires	SJM Resorts; Galaxy Casino; Venetian Macau (Sands China); Melco Resorts (Macau); Wynn Resorts (Macau); MGM Grand Paradise	Verified (EO 218–223/2022)
2022 tender	29 Jul–14 Sep 2022; 7 bidders; provisional award 26 Nov 2022; final 16 Dec 2022	Verified (DICJ)
Casinos operating	20 (SJM 5, Sands 5, Galaxy 3, Melco 3, Wynn 2, MGM 2) vs 42 in 2021	Verified (DICJ via Macau Post Daily)
Satellite casinos	Prohibited after 3-year transition ended 31 Dec 2025; ~480 tables / ~270 machines reallocated	Verified
Gaming tables / machines	~6,000 / ~12,000 (end-2025; end-H1 2026)	Verified (DICJ via press)
Minimum share capital	MOP5bn (~$620m)	[unverified this session]
Local managing-director shareholding	≥15% of capital, Macau permanent resident	[unverified this session]
Annual premium	Fixed MOP30m (~$3.7m) + MOP300k (~$37k)/VIP table, MOP150k (~$19k)/mass table, MOP1,000 (~$124)/machine; minimum variable MOP45m (~$5.6m)	[unverified this session]
Minimum GGR per table / machine	Shortfall vs CE-set minimum taxed as if earned (reported MOP7m (~$0.87m)/table p.a.)	[unverified this session]
Non-gaming investment pledge	Ten mandated categories; DICJ monitors delivery; aggregate ~MOP108.7bn (~$13.5bn) non-gaming over 10 years	Categories verified (DICJ); amount [unverified this session]
Gaming promoters	Law 16/2022; annual licence; 29 licensed at end-Jun 2026	Count verified; terms [unverified this session]
Online / interactive gaming	No licence class; not permitted	Verified by absence in Law 16/2001 framework
Next entry window	Re-tender ahead of 31 Dec 2032 expiry	Inference

7 DEEP-DIVE — TAX & FISCAL DEPENDENCE

A 40% effective levy on GGR delivered MOP74.56bn (~$9.24bn) in nine months — 84% of government current revenue — which is precisely why the regime will not loosen.

TAX STRUCTURE

A 40% effective levy on GGR — 35% special tax plus up to 5% contributions — with no change enacted or proposed in 2026.

- Tax base is gross gaming revenue, not turnover or net of promotional allowances; Article 27 sets 35%, payable monthly by the 10th.
- Contributions up to 2% to a public foundation and up to 3% to urban development, tourism and social security [not re-read this session].
- No player-level withholding; concessionaires historically exempted from complementary tax on gaming profits [unverified this session].

2026 RECEIPTS

9M gaming receipts of MOP74.56bn (~$9.24bn, +5.9%) are 80.6% of budget; we estimate FY2026 at MOP96–99bn (~$11.9–12.3bn) [estimate].

- Receipts: MOP34.87bn (~$4.32bn, +16.9%) at 4M, MOP51.19bn (~$6.34bn, +13%) at H1, MOP66.17bn (~$8.20bn, +6.9%) at 8M.
- Growth decay lags GGR by roughly a month; September receipts MOP8.39bn (~$1.04bn) relate largely to August GGR of MOP21.89bn.
- Receipts equal 39.8% of 9M GGR, consistent with the 40% effective rate.
- FY2026 gaming-tax budget MOP92.53bn (~$11.47bn) will be exceeded even on a weak Q4.

FISCAL DEPENDENCE

Gaming taxes were 84.1% of government current revenue in 9M-26; dependence is extreme and rising.

- Current revenue MOP88.71bn (~$10.99bn) in 9M-26; gaming share 86.4% at 8M, 86.5% at 4M.
- FY2025 gaming concession revenue was 76.6% of total revenue of MOP124.1bn (~$15.38bn); gaming taxes MOP94.9bn (~$11.76bn, +7.6%) beat the MOP93.1bn (~$11.54bn) budget.
- FY2025 expenditure MOP102.9bn (~$12.75bn), so the surplus depends on the 40% levy.

> *"remains unchanged"* — **Legislative Assembly budget committee**

POLICY CONSEQUENCE

The government has no room to raise the rate, but its leverage over operators is total; assume 40% plus premium plus mandated reinvestment with no relief.

- Every signal (target maintenance, refusal to revise forecasts, event subsidies) is about protecting GGR.
- Dependence drove minimum-GGR-per-table rules, non-gaming pledges and the power to terminate concessions on national-security grounds.

GAMING TAXATION (DSF) — MOP BN (~USD BN)	9M-26	YOY	FY-25	FY-26 BUDGET
Tax base	Gross gaming revenue	unchanged	GGR	GGR
Special gaming tax (Art. 27)	35%	unchanged	35%	35%
Contributions (foundation + urban/tourism/social)	up to 2% + up to 3%	unchanged	5%	5%
Effective levy	**40% of GGR**	**unchanged**	**40%**	**40%**
Gaming tax receipts	**74.56 (~$9.24)**	**+5.9%**	**94.9 (~$11.76), +7.6%**	**92.53 (~$11.47)**
— 4M / H1 / 8M cumulative	34.87 / 51.19 / 66.17	+16.9% / +13% / +6.9%	–	–
— September monthly	8.39 (~$1.04)	+7.4% MoM	Dec n/a	–
Receipts as % of GGR (timing-lagged)	39.8%	–	38.4%	39.2% (on 236 target)
% of FY gaming-tax budget collected	80.6%	–	102% (vs 93.1 budget)	–
Government current revenue	88.71 (~$10.99)	n/a	124.1 (~$15.38) total, +6.9%	n/a
Gaming share of government revenue	84.1% of current revenue	vs 86.4% at 8M	76.6% of total revenue	n/a
Government expenditure	n/a	n/a	102.9 (~$12.75), +5%	n/a
Fiscal surplus	H1: 13.28 (~$1.65)	n/a	~21.2 [calc]	n/a
Player withholding on winnings	None	–	None	None
Pending tax changes	None enacted or proposed	–	–	–

8 DEEP-DIVE — PAYMENTS, AML, RESPONSIBLE GAMBLING & ADVERTISING

Cash, chips and UnionPay under PRC capital controls; no legal digital funding rail; a 21+ floor with no gaming advertising — restrictions are stable, but Beijing's enforcement is the swing variable.

PAYMENTS

No legal digital funding rail exists; play is funded by cash, UnionPay under PRC capital controls, and concessionaire credit.

- No licensed online channel, so no e-wallet, card-not-present or open-banking funding.
- Floors transact in HKD-denominated chips (MOP pegged to HKD at 1.03, HKD to USD).
- UnionPay cards subject to PRC annual overseas cash-withdrawal caps and monitoring [limits and operator credit not re-verified this session].
- Seaport's attribution of October's >35% VIP fall to 'China capital controls' shows Beijing-set payment friction is a first-order GGR driver.

AML AND CRIMINAL RISK

Any model touching mainland customer acquisition, including digital marketing, carries criminal rather than merely regulatory risk.

- AML under Law 2/2006 and DICJ instructions; Financial Intelligence Office (GIF) is the FIU [thresholds not re-read this session].
- 2022 amendments made concessionaires jointly responsible for promoter conduct; 2022 illegal-gambling law criminalised unauthorised gaming, side-betting and illegal online gambling.
- 2021 PRC Criminal Law Article 303 amendment criminalised organising cross-border gambling for PRC citizens.

RESPONSIBLE GAMBLING AND ADVERTISING

A codified 21+ floor, exclusion scheme, smoking ban and a prohibition on gaming advertising keep all marketing non-gaming in form.

- Law 10/2012 sets entry and employment age at 21 and bars off-duty staff from floors; DICJ runs self-/third-party exclusion.
- Main-floor smoking ban with approved lounges since 2019 [not re-read this session].
- Direct advertising of games of fortune is prohibited; marketing is concerts, NBA China Games and branded entertainment, routed through entertainment and MICE.

ENTRANT IMPLICATION

Customer acquisition in Macau is a venue-and-events business, not performance marketing; standard online levers are prohibited or legally hazardous.

- No 2026 data located on problem-gambling prevalence, exclusion enrolments or AML filings (n/a).
- Bonusing, affiliate marketing and app distribution are prohibited or hazardous when aimed at the ~95% Greater-China customer base.

PAYMENTS, COMPLIANCE & PLAYER-PROTECTION FRAMEWORK	RULE / REALITY	STATUS (VERIFICATION)
Licensed online funding / e-wallets	None — no online licence class	Verified by framework
Currency of play	HKD chips dominant; MOP pegged to HKD at 1.03	Background [not re-verified]
Mainland funding channels	Cash; UnionPay (PRC overseas withdrawal caps); operator credit for premium-direct	Background [not re-verified]
Capital-control sensitivity	Oct-26 VIP >-35% YoY attributed to PRC controls (Seaport)	Verified (secondary)
AML framework	Law 2/2006; DICJ CDD/LTR/STR instructions; GIF as FIU	Background [thresholds not re-verified]
Illegal gambling	2022 Macau law criminalising unauthorised gaming/side-betting/illegal online; PRC Criminal Law Art. 303 (2021) on cross-border gambling	Background [not re-read]
Minimum age (entry & employment)	21 (Law 10/2012)	Background [not re-read]
Self-exclusion	DICJ-administered self/third-party exclusion	Background [enrolment data n/a]
Smoking	Main-floor ban with approved lounges since 2019	Background [not re-read]
Gaming advertising	Advertising of games of fortune prohibited; resort/entertainment marketing permitted	Background [not re-read]
Problem-gambling prevalence / RG statistics 2026	n/a (not located)	–

9 DEEP-DIVE — NON-CASINO BETTING & ONLINE

Sports betting is a sub-0.3%-of-GGR monopoly in regulatory limbo; racing is gone; online does not exist as a licensed product.

SPORTS BETTING

Macau Slot's exclusive football and basketball concession is about 0.25% of Q1 casino GGR and sits in regulatory limbo after 5 June 2026.

- Q1-26 football GGR MOP90m (~$11.2m, -10% YoY), basketball MOP73m (~$9.0m, +23.7%); MOP163m (~$20.2m) combined.
- Concession in place since 1998, extended one year to 5 June 2026 for a review of the sports-betting model alongside lottery and non-gaming entertainment.
- Outcome and post-5 June 2026 status could not be established (n/a); Q2 and Q3 figures not located (n/a), though Q3 trade coverage referenced 'higher revenue'.

RACING AND LOTTERIES

Racing is gone and lotteries are immaterial; the DICJ-regulated universe is ~99.7% casino games of fortune.

- Canidrome ended greyhound racing on 20 July 2018; Macau Horse Racing Company ended horse racing on 1 April 2024 (DICJ).
- Chinese lotteries (pacapio and similar) remain licensed but immaterial; no 2026 figures located (n/a).

ONLINE GAMING

Online gaming is absent from the legal framework and illegal for both Macau operators and mainland customers, with no consultation launched.

- Law 16/2001 and its 2022 revision license 'casino games of fortune' in approved physical premises only; no interactive or remote class.
- 2022 illegal-gambling law and mainland cross-border gambling offences compound the prohibition.
- Hengqin/Guangdong-Macao cooperation-zone initiatives include no gaming liberalisation.

B2TECH IMPLICATION

Macau offers no addressable online market and no credible timeline; treat it as land-based B2B supply and a Greater-China demand barometer.

- The sports-betting monopoly review is the only live licensing process, it is tiny, and nothing suggests opening to foreign online operators.
- Not a market to enter.

NON-CASINO BETTING & ONLINE — MOP M (~USD M)	Q1-26	YOY	STATUS / NOTE
Football betting (Macau Slot, exclusive)	90 (~$11.2)	-10%	Concession extended to 5 Jun 2026; post-June status n/a
Basketball betting (Macau Slot)	73 (~$9.0)	+23.7%	As above
Sports betting total	**163 (~$20.2)**	**~+3% [calc]**	**~0.25% of casino GGR**
Horse racing	nil	–	Ended 1 Apr 2024 (DICJ)
Greyhound racing	nil	–	Ended 20 Jul 2018 (DICJ)
Chinese lotteries (pacapio etc.)	n/a	n/a	Licensed; immaterial; no 2026 data located
Licensed online casino / sportsbook	nil	–	No licence class; illegal under 2022 law; PRC Art. 303 for cross-border
Online penetration (legal)	0%	–	Structural
Q2/Q3-26 sports-betting GGR	n/a	n/a	Not located this session

10 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Slots/ETGs are the only compounding product: 9M slot GGR ~MOP12.18bn (~$1.51bn, ~+19% YoY), share up to 6.8% of GGR from 5.5%, driven by capped table counts, satellite-floor reallocation and the deliberate migration of grind-mass play to machines — a structural B2B opening into a ~12,000-machine installed base now bought by just six counterparties. structural
- Scale and fiscal alignment: Macau remains the world's largest casino market (FY25 GGR MOP247.4bn, ~$30.66bn, more than double the Las Vegas Strip) and the government's 84% revenue dependence means policy is oriented to protecting GGR — targets maintained, events subsidised, no tax rise contemplated. structural
- Regulatory certainty to 2032: six concessions with fixed terms, a 35%+5% levy unchanged since 2002, consolidation finished (20 casinos, no satellites) — contract and counterparty risk for suppliers is low by emerging-market standards. structural
- Top-of-funnel demand is still growing: 9M arrivals 32.18m (+8.5%), September +15.9%, Q3 11.2m; entertainment-led promotion (concerts, NBA China Games) is demonstrably pulling volume even if conversion to spend is weak. mixed
- VIP within concessionaire-run rooms is up ~10% over 9M (MOP52.4bn, ~$6.49bn) and recovered +6.3% QoQ in Q3, showing premium-direct capacity survived the junket purge — though Q1's +35% was hold- and base-assisted and October's reported -35% shows the volatility. mixed
- Non-gaming investment pledges and the 'international visitor' mandate create demand for entertainment, MICE and technology partners, with international arrivals (+3.4%) the KPI DICJ monitors — an adjacent services opening for non-gaming B2B. early

▼ LOWLIGHTS

- Demand has rolled over: five consecutive monthly YoY declines (Jun -12.1%, Jul -8.4%, Aug -1.2%, Sep -1.2%, Oct -10.0%), Q3 -3.8%, and an October fall in a Golden Week month — the World Cup excuse no longer covers it. watch
- Premium-mass erosion is the core risk: mass baccarat -7.9% in Q3 (MOP33.61bn, ~$4.16bn), a MOP2.88bn (~$357m) decline exceeding the whole market's drop; GGR per visitor ~-15% in September as same-day visitors (+23.8%) displace overnight guests (+5.7%). structural
- Closed market: no B2C entry before a re-tender ahead of 31 Dec 2032, no sub-concessions, no online licence class, a 2022 tender won entirely by incumbents on non-gaming pledges and local shareholding — an outside operator's probability of a licence is effectively nil this decade. structural
- Levy economics: 40% effective tax on GGR plus annual premiums per table/machine and minimum-GGR-per-table top-ups [parameters unverified this session] leave operators with thin margins when GGR falls and wages rise (full-time gaming earnings +4.6% to MOP28,660, ~$3,551/month). structural
- Policy risk is set in Beijing, not Macau: capital-control enforcement (Seaport's October VIP >-35%), cross-border gambling criminalisation and visa policy move GGR by double digits with no local recourse; ~94% of visitors are Greater China. governance
- The government's 84% fiscal dependence makes it an aggressive principal: minimum-GGR rules, investment-pledge monitoring, national-security termination rights and the satellite ban show the state will restructure the industry when revenue is threatened. governance
- Transparency gaps: DICJ does not publish operator shares; VIP is defined by table class not player type; quarterly and monthly series differ (~0.2%); one outlet misreported September GGR — any contract indexed to 'market GGR' needs a precise definition. watch

11 FORECAST & OUTLOOK

Guidance bridge. The only official 'guidance' is the 2026 budget's GGR assumption of MOP236bn (~$29.24bn), set in late 2025 below the MOP247.4bn (~$30.66bn) actually earned in 2025 and left unchanged by CE Sam Hou Fai despite four (now five) months of YoY declines. With MOP208.79bn (~$25.87bn) banked through October, the target needs only MOP27.2bn (~$3.37bn) from November–December versus MOP41.98bn (~$5.20bn) a year earlier, so it will be met; the real question is the exit rate. Seaport models November at -6.1% YoY; carrying a similar decline into December yields FY2026 GGR of roughly MOP245–250bn (~$30.4–31.0bn), -1% to +1% YoY [estimate], and FY2026 gaming-tax receipts of MOP96–99bn (~$11.9–12.3bn) against a MOP92.53bn (~$11.47bn) budget [estimate]. The deterioration is concentrated in mass/premium-mass baccarat (Q3 -7.9%), partially offset by slots (+19%) and a flat-to-recovering VIP line; the 2027 budget assumption, due in the Legislative Assembly's November–December debate, is the next formal data point.

2026 GOVERNMENT GGR TARGET	10M-26 ACTUAL GGR (DICJ)	NOV–DEC REQUIRED TO MEET TARGET	OUR FY2026 ESTIMATE
MOP236bn (~$29.24bn)	**MOP208.79bn (~$25.87bn)**	**MOP27.2bn (~$3.37bn)**	**MOP245–250bn (~$30.4–31.0bn)**
Unchanged; 79% achieved at 9M; implies -4.6% vs FY25	+1.6% YoY; Oct -10.0%	vs MOP41.98bn (~$5.20bn) in Nov–Dec 2025	-1% to +1% YoY [estimate]; tax MOP96–99bn [estimate]

Independent view. Market: we expect FY2026 to be Macau's first flat-to-down year since reopening and 2027 to deliver at best low-single-digit growth, with premium-mass GGR per visitor the binding constraint; slots should keep growing mid-teens and reach ~7–8% of GGR by end-2027 [estimate], while VIP oscillates within a 25–30% share band on hold and capital-control swings. **Rules:** no change to the 35%+5% levy, the six-concession cap or the online prohibition through 2032; direction of travel is incremental tightening (AML thresholds, promoter oversight, minimum-GGR enforcement, investment-pledge audits) plus pressure on concessionaires to deliver international visitation. The only live licensing decision is the Macau Slot sports-betting model, which is immaterial in revenue terms. **Fiscal:** receipts will beat budget again, keeping the government in surplus and removing any incentive to liberalise. **Swing factors:** PRC capital-control and visa policy (the dominant variable), mainland property/wealth effects on premium mass, a hold-driven VIP rebound, and whether Golden Week-style event programming can convert same-day volume into overnight spend. **For B2Tech:** treat Macau as a B2B machine/systems opportunity sized to a ~MOP16bn (~$2.0bn) annual slot win pool [estimate] and as a Greater-China demand barometer, not as an operating market.

What to watch next quarter:

- November and December DICJ monthly GGR (released 1 Dec / 1 Jan): whether the YoY decline narrows from October's -10% and whether FY2026 lands above or below MOP247.4bn.
- The 2027 budget's GGR assumption and gaming-tax budget in the Legislative Assembly (Nov–Dec 2026) — a figure below ~MOP240bn would signal official acceptance of a down-cycle.
- Q4-26 DICJ by-game data (mid-January): mass-baccarat YoY (Q3 -7.9%) and whether slot growth holds >15%; VIP share versus the 30.7% of Q4-25.
- DSEC visitor mix — overnight vs same-day arrivals, average length of stay and international share (6.1% in 9M) — the leading indicators for GGR per visitor.
- Licensed gaming-promoter count (29 at end-June) and any DICJ action on promoter or concessionaire AML/CDD thresholds.
- Outcome of the Macau Slot sports-betting concession review (extended to 5 Jun 2026) — whether the model is re-tendered, extended again or absorbed.
- PRC policy: UnionPay/cash-withdrawal enforcement, cross-border gambling prosecutions, mainland visa and multi-entry schemes (Hengqin/Zhuhai), and any mainland macro stimulus affecting premium-mass wealth.
- DICJ follow-up on concessionaire non-gaming investment delivery and any adjustments to table/machine allocations after the satellite reallocation.
- Wage inflation vs GGR: gaming employment (53,272) and average earnings (+4.6%) against falling revenue — a margin signal for concessionaire capex and procurement appetite.

DATA CONFIDENCE: MEDIUM FX: USD/MOP 8.07 as of 30 Sep 2026 (MOP pegged to HKD at 1.03; HKD pegged to USD), consistent with press conversions of DICJ data; all USD figures are approximations prefixed "~". Headline figures (9M GGR MOP187.12bn, Q3 MOP60.22bn, monthly series, Q1–Q3 by-game splits, 9M gaming tax MOP74.56bn, 9M arrivals 32.18m, 20 casinos, 29 promoters, 6,000 tables/12,000 machines) were each corroborated across at least two outlets quoting DICJ/DSF/DSEC; however the regulators' own pages could not be fetched directly in this session (fetch access blocked), so primary verification is indirect. 9M by-game totals and YoY rates are our summations of the three DICJ quarterlies and are marked [calc]; the quarterly series sums ~0.2% above the monthly series. One outlet's September GGR figure (MOP17.84bn) conflicts with the consensus MOP18.06bn and was discarded. Concession premium schedule, minimum share capital, 15% local-MD shareholding, minimum-GGR-per-table thresholds, the MOP108.7bn non-gaming pledge, junket commission/one-concessionaire rules, UnionPay limits, AML thresholds and RG/advertising statute details are stated from the legislation as known and are flagged [unverified this session]. Operator market shares, Q2/Q3 sports-betting GGR, lottery GGR, the post-June-2026 status of the Macau Slot concession and RG statistics are n/a. FY2026 GGR/tax and slot-pool figures are labelled estimates.

Sources: [Primary] DICJ — Macao gaming history, legal framework, 2022 law revision and concession awards (primary; read); [Primary] Macao SAR Government news — DICJ monthly GGR statistics release practice (primary); [Primary] DICJ — Monthly Gross Revenue from Games of Fortune 2026 (primary series; page not directly retrievable this session — figures as relayed by outlets below); [Secondary] Yogonet, 26 Oct 2026 — DSEC 9M arrivals 32.18m, GGR MOP187.12bn (lead article); [Secondary] CDC Gaming, 26 Oct 2026 — DSEC September arrivals 3,216,535 (+15.9%); [Secondary] Macau Post Daily, Oct 2026 — DICJ September GGR MOP18.06bn; 20 casinos; operator casino counts; DSEC wages; [Secondary] Macau Post Daily, Sep 2026 — DICJ August GGR MOP21.89bn; satellite consolidation ended 31 Dec 2025; [Secondary] Macau Post Daily, Apr 2026 — March GGR; 6,000 tables/12,000 machines; baccarat 85.1% of 2025 GGR; 53,272 gaming employees; [Secondary] GGRAsia, 1 Nov 2026 — DICJ October GGR MOP21.68bn (-10.0%); 10M MOP208.79bn; [Secondary] Inside Asian Gaming, 1 Nov 2026 — October GGR, +20.02% MoM; [Secondary] AGB, 22 Oct 2026 — DICJ Q3 by game: mass baccarat MOP33.61bn, slots MOP4.09bn, LMG MOP1.14bn; [Secondary] Inside Asian Gaming, 18 Oct 2026 — DICJ Q3 by game; CE maintains MOP236bn target; [Secondary] Yogonet, 20 Oct 2026 — Q3 VIP baccarat MOP16.91bn (+0.1%, +6.3% QoQ); [Secondary] GGRAsia, 16 Jul 2026 — DICJ Q2 by game: VIP MOP15.90bn, mass incl. slots MOP45.13bn, slots MOP4.11bn, LMG MOP1.30bn; [Secondary] Inside Asian Gaming, 17 Jul 2026 — Q2 total MOP61.2bn, mass baccarat MOP35.2bn; [Secondary] Macau Business, 17 Apr 2026 — DICJ Q1: total MOP66.04bn vs MOP57.66bn; VIP MOP19.56bn; mass baccarat MOP36.56bn; [Secondary] AGB, 16 Apr 2026 — Q1 slots MOP3.98bn (+21.6%), LMG MOP1.26bn; [Secondary] Focus Gaming News, Apr 2026 — Q1 football MOP90m / basketball MOP73m (DICJ); [Secondary] Focus Gaming News, Jul 2025 — Q2-25 comparatives (VIP MOP16.33bn, mass baccarat MOP35.58bn, slots MOP3.51bn); 2025 target cut to MOP228bn; [Secondary] Yogonet, 3 Jul 2026 — June GGR MOP18.52bn (-12.1%); H1 MOP126.90bn (+6.8%); [Secondary] AGB, 1 Jul 2026 — June/H1 GGR; H1 2019 comparative MOP149.50bn; [Secondary] Yogonet, 7 May 2026 — April GGR MOP19.89bn; 4M MOP85.76bn; 2026 target MOP236bn vs 2025 target MOP228bn; [Secondary] GGRAsia, 1 May 2026 — April GGR; Seaport 'low VIP hold'; [Secondary] Yogonet, 2 Apr 2026 — March GGR MOP22.61bn; Feb MOP20.6bn; Jan MOP22.63bn; [Secondary] Yogonet, 2 Feb 2026 — January GGR MOP22.6bn (+24%); [Secondary] GGRAsia, 1 Jan 2026 — FY2025 GGR MOP247.40bn (+9.1%); Dec MOP20.89bn; Nov

MOP21.09bn; 84.6% of 2019; [Secondary] GGRAsia, 12 Oct 2026 — DSF 9M gaming tax MOP74.56bn (+5.9%); 84.1% of current revenue MOP88.71bn; 40% effective rate; [Secondary] AGB, 11 Sep 2026 — DSF 8M gaming tax MOP66.17bn; FY budget MOP92.53bn; [Secondary] Global Gaming Insider, Jul 2026 — H1 gaming tax MOP51.19bn (+13%); H1 surplus MOP13.28bn; [Secondary] GGRAsia, 11 May 2026 — 4M gaming tax MOP34.87bn (+16.9%); [Secondary] Inside Asian Gaming, 12 Mar 2026 — FY2025 gaming tax MOP94.9bn (+7.6%) vs budget MOP93.1bn; [Secondary] Inside Asian Gaming, 11 Nov 2026 — Legislative Assembly budget committee: gaming 76.6% of FY2025 revenue MOP124.1bn; expenditure MOP102.9bn; [Secondary] GGRAsia, 12 Oct 2026 — CE Sam Hou Fai: October key to MOP236bn target; [Secondary] GGRAsia, 27 Oct 2026 — CreditSights on target achievability; 9M monthly average MOP20.8bn; [Secondary] Yogonet, 3 Nov 2026 — Seaport November forecast -6.1%; October VIP >-35%; [Secondary] Macau Daily Times, 22 Jul 2026 — licensed gaming promoters 29 (31 at end-March); [Secondary] Inside Asian Gaming, 9 Jun 2025 — satellite casinos: 11 venues, ~480 tables, ~270 machines; reallocation policy; [Secondary] Chambers Gaming Law 2025 — Macau SAR: Art. 27 35% special gaming tax; DSF role; Macau Slot concession extended to 5 Jun 2026; [Secondary] PwC Tax Summaries — Macau SAR special gaming tax 35% under Law 7/2022; [Primary] Galaxy Entertainment Group — Selected unaudited Q3 2026 data (market GGR HKD58.5bn Q3, HKD181.7bn 9M; Q3 arrivals 11.2m).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.